

Week ending: 29th January 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **364-day** T-bill was oversubscribed recording **134.17%** performance rate while the **91-day & 182-day** T-bills were undersubscribed recording **12.72% & 19.70%** performance rate respectively. The CBK accepted KES **0.51B**, **1.97B** and **13.41B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

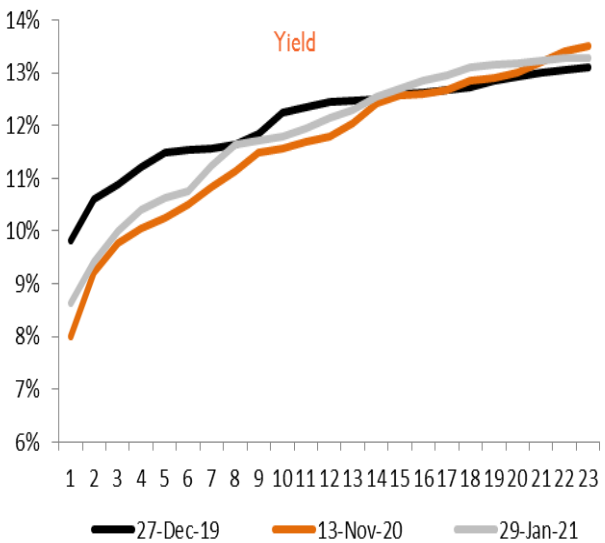
The Central Bank of Kenya re-opened two fixed bonds **FXD1/2013/15-(7.1 years)** and **FXD1/2012/20-(11.8years)** in a bid to raise **50 Billion**. The coupon rates for the bonds are **11.250%** and **12.000%** respectively. The period of sale for the bonds runs from **26/01/2021** to **02/02/2021**. The two bonds will attract a withholding tax of **10%**.

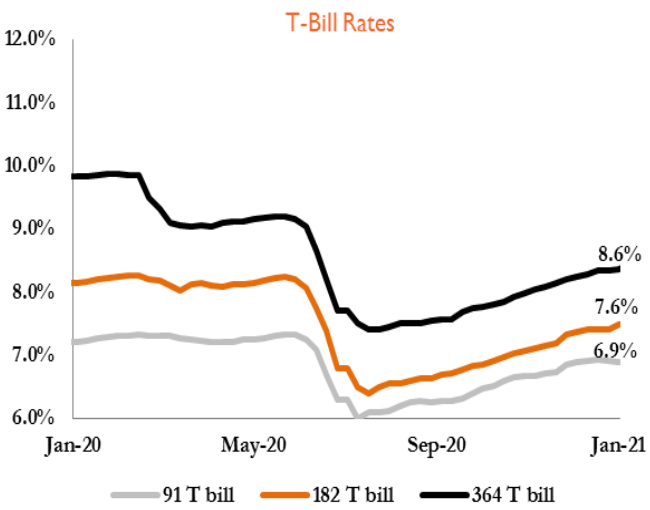
Key Indicators

	Current	Previous	% Change
91- Day	6.88%	6.98%	-1.23%
182-Day	7.58%	7.50%	0.93%
364-Day	8.62%	8.51%	1.35%
Interbank Rate	5.79%	5.25%	10.29%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (January)	5.69%	5.62%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.31%** to stand at **110.14**.The CBK's usable forex reserves currently stands at **USD 7,663million** (**4.71** months of import cover) as at January 28th a **0.07%** increase from **USD7,658million**(**4.70** months of import cover) as at January 21st.

Inflation

In January, Headline inflation stood at **5.69%** from **5.62%** in December. The CPI increased by **0.63%** from **111.87** in December to **112.58** in January. This increase occurred on the back of a rise in food and fuel prices. Meanwhile, the food and alcoholic beverages index increased by **1.26%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to Covid-19 but better compared to 2Q20. The quarterly improvement was majorly supported by growth in the agriculture sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019.Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively. For more information click here.

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